



Filing Receipt

Filed Date - 2025-07-08 01:37:36 PM

Control Number - 56354

Item Number - 3818

**SOAH DOCKET NO. 473-25-14207
PUC DOCKET NO. 56354**

APPLICATION OF UNDINE, LLC	§	BEFORE THE STATE OFFICE
FOR AUTHORITY TO CHANGE	§	OF
RATES	§	ADMINISTRATIVE HEARINGS

**UNDINE, LLC'S RESPONSE TO NERRO'S
FIRST REQUEST FOR INFORMATION**

Undine, LLC (Undine or Company) files this Response to the First Request for Information (RFI) filed by Nerro. The discovery request was received by Undine on July 2, 2025; therefore, these responses are timely filed. Pursuant to 16 Tex. Admin. Code § 22.144(c)(2)(F), these responses may be treated as if they were filed under oath.

Respectfully submitted,

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ATTORNEYS FOR UNDINE, LLC

CERTIFICATE OF SERVICE

I certify that, unless otherwise ordered by the presiding officer, notice of the filing of this document was provided to all parties of record via electronic mail on July 8, 2025, in accordance with the Order Suspending Rules, issued in Project No. 50664.



JACK M. KLUG

UNDINE'S RESPONSE TO NERRO'S FIRST RFI

NI 1-1 In Edward Wallace's rebuttal to Ms. Sears, he states that Undine's long term debt is \$67.7 million dollars attributed to one investment bank, Texas Capital Bank. Exhibit ERW-2 shows lines of equity available to Undine from Texas Capital Bank, Ridgewood Infrastructure, and Crosstimbers Capital Group as well as what amount of equity is remaining in each entity. Were the additional lines of equity from these three firms utilized to purchase additional water and sewer systems not included in the rate filing?

If yes, how much additional long term debt has Undine accumulated that is not included in this rate filing?

RESPONSE: Undine utilized both additional debt and equity to acquire water and sewer systems not included in this filing. Texas Capital Bank provides bank debt only. Ridgewood Infrastructure and Crosstimbers Capital Group provide equity funding only. Undine acquired 6 water systems and 3 sewer systems before the end of the test year that were not included in this rate filing. Also, Undine has acquired 2 water systems and 1 sewer system after the end of the test year. Most of these systems are either on Year 1 of the Docket No. 50200 phase-in plan rates or are on Year 3 of these rates. This generally means these systems just had an increase in their rates and/or are being phased in to higher rates. Undine determined that it would not be proper to increase the rates for these customers even higher by including these recently acquired systems in this rate filing. Thus, these systems were not included.

Undine had \$79.85MM of bank debt at May 31, 2025, or just over \$12MM more than at the end of the test year ending June 30, 2024.

Prepared by: Benny Wilkinson
Sponsored by: Edward R. Wallace, Sr.

UNDINE'S RESPONSE TO NERRO'S FIRST RFI

NI 1-2 Mr. Wallace further states in his rebuttal to Ms. Sears that only 47% of Undine's customer base is included in this rate filing. Do you anticipate Undine will file another docket for rate tariff increases to recover losses for the remainder of its customers within 6-12 months after the final rate tariff from this docket takes effect?

If no, then what timeframe do you anticipate before Undine files a new docket for rate tariff increases?

RESPONSE: Unless the Commission determines that a financial hardship exists, Class A utilities such as Undine may not file a statement of intent to increase their rates more than once in a 12-month period under Texas Water Code § 13.187(p). That being said, Undine management monitors the earnings of each water and sewer system to determine when it is in need of a rate increase. Filing for an increase in rates 6-12 months after receiving the final rate tariff in Docket No. 56354 is unlikely. However, when inflation causes operating expenses to increase and after additional capital expenditures, Undine will determine if and when another rate filing is necessary for it to earn a reasonable return on its invested capital. The exact timing of such a rate filing is not determinable at this time.

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UNDINE'S RESPONSE TO NERRO'S FIRST RFI

NI 1-3 If there is a recommendation from OPUC for a three year phase-in period for final rates for water systems: Brazos Valley Septic & Water, Inc., Pure Utilities, Sam Houston Forest, Wildwood Shores and for sewer systems: Kalita Point, Indian Hill Harbor, Lakeside Village and Wildwood Shores to mitigate rate shock and that is consistent with Undine's need for revenue, would you agree to that recommendation?

RESPONSE: It is in Undine's best interest to help customers avoid rate shock. Undine is amenable to a three-year phase-in plan, as long as it does not unreasonably interfere with the Company's need for additional revenue.

Prepared by: Benny Wilkinson
Sponsored by: Edward R. Wallace, Sr.

UNDINE'S RESPONSE TO NERRO'S FIRST RFI

NI 1-4 On Attachment WAT-1 page 6, you list Capital Expenditures through June 30, 2024 for Nerro Systems to be \$7,152,993.49. Worksheet WP-11-C-9.1 W&S, page 2181 from the amended application shows Cash Capital Additions for Nerro Water and Sewer totaling \$5,634,090.04. Please explain the difference between those two figures

RESPONSE: The main difference between the two figures is the word "Cash." Total capital expenditures include items other than cash and are therefore higher. Items which cause capital expenditures to be higher than "Cash" capital additions are capitalized overhead, Allowance for Funds Used During Construction, Non-Cash Adjustments including retirements, and cost of removal, net of salvage.

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